ENERGY REGULATORY COMMISSION
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Republic of the Philippines
ENERGY REGULATORY COMMISSION
Pasig City

RESOLUTION NO. 02, SERIES OF 2023

A RESOLUTION ADOPTING THE EXTENSION OF SUSPENSION OF THE COLLECTION OF FEED-IN TARIFF ALLOWANCE (FIT-ALL)

WHEREAS, pursuant to the mandate under Republic Act No. 9513 or the Renewable Energy Act of 2008 (RE Law), the ERC promulgated Resolution No. 16, Series of 2010 adopting the Feed-In Tariff Rules (FIT Rules) on 12 July 2010, which was later amended through Resolution No. 15, Series of 2012 on 19 November 2012;

WHEREAS, Section 2.5 of the FIT Rules provides that consumers who are supplied with electricity through the distribution or transmission network shall pay a uniform charge for the power supplied under the FIT program referred to as the Feed-In Tariff Allowance or the FIT-All;

WHEREAS, on 16 December 2013, the ERC promulgated Resolution No. 24, Series of 2013, entitled "A Resolution Adopting the Guidelines on the Collection of the Feed-In Tariff Allowance (FIT-All) and the Disbursement of the FIT-All Fund";

WHEREAS, a Notice of Resolution dated 30 August 2022, entitled "*In the Matter of the Application for the Approval of the Feed-In Tariff Allowance for the Calendar Year 2022 Pursuant to the Guidelines for Collection of the Feed-In Tariff Allowance and the Disbursement of the Feed-In Tariff Allowance Fund, with Prayer for Provisional Authority*" under ERC Case No. 2021-061RC was issued by the Commission, approving the implementation of the 2022 FIT-All rate of PhP0.0364/kWh effective on the next billing cycle;

WHEREAS, on 16 November 2022, the Commission issued ERC Resolution No. 12, Series of 2022, entitled *"A Resolution Adopting the Suspension of the Collection of Feed-In Tariff Allowance (FIT-All),"* directing Collection Agents to temporarily suspend the collection of FIT-All for a period of three (3) months from December 2022 until February 2023 billing months;

WHEREAS, as of 05 February 2023, the FIT-All Fund has a balance of Six billion, four-hundred twenty-one million, eight hundred seventy-eight thousand, two-hundred sixty-one pesos and 29/100 (Php6,421,878,261.29), exclusive of the February 2023 CRR collection;

WHEREAS, the average monthly Cost Recovery Revenue (CRR) collection from January to December 2022 is One billion, nine hundred sixty-three million, five hundred twenty-six thousand, eight hundred sixty-four pesos and 36/100 (PhP1,963,526,864.36);

WHEREAS, the monthly average disbursements from the FIT-All Fund for the same period (January to December 2022) is Two billion, fourteen million, five hundred ninety thousand, five hundred thirty-three pesos and 16/100 (PhP2,014,590,533.16);

WHEREAS, the FIT-All Fund balance as of 05 February 2023, inclusive of the CRR collections in January 2023, shows a healthy fund balance that can sufficiently cover the FIT-All payment requirements for six (6) more months, assuming the same average CRR collection;

WHEREAS, still in light of the rising level of inflation and cost of living affecting millions of Filipino households, the Government is introducing remedies to ease inflation pressure on its citizens, including those that address the ability to pay for the rising cost of electricity due to external pressures;

NOW, THEREFORE, the Commission hereby RESOLVES to APPROVE and ADOPT the extension for the temporary suspension in the collection of the FIT-All for a period of six (6) months, starting March 2023 until August 2023 billing months, unless lifted earlier by the Commission through a subsequent resolution;

RESOLVED FURTHER, that the Distribution Utilities (DUs), Retail Electricity Suppliers (RES), and National Grid Corporation of the Philippines (NGCP), shall report to the Commission not later than 31st of March 2023 of its implementation of the suspension based on Resolution No. 12, Series of 2022 and this Resolution.

This Resolution shall take effect immediately following its publication in a newspaper of general circulation or in the Official Gazette.

Let copies of this Resolution be furnished the University of the Philippines Law Center – Office of the National Administrative Register (UPLC-ONAR), the Department of Energy, and all parties concerned.

Pasig City, 22 February 2023.

ERC
Office of the Chairperson and CEO
MCD2023-000634

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Chairperson and CEO

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